DE–7162 **11**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2013.

First Semester

MANAGEMENT CONCEPTS

(Upto 2012-13)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Discuss briefly the factors responsible for slow development of management thought.

2. State the importance of planning in a business concern.

3. How is the formal authority structure of a business organisation designed?

4. Discuss briefly the various types of written communication.

5. Explain the characteristics of an ideal control system.

6. Write a note on : Bench marking.

7. State the reasons that make leadership necessary.

8. Explain the need for decision-making in a business undertaking.

PART B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss the concept of scientific management as developed by Taylor and his followers.

10. Enumerate the different types of plans.

11. Explain the important areas in which neo-classical theory is different from classical theory.

12. Describe Maslow's hierarchy of needs theory and its limitations.

13. Discuss modern control devices and show how they are useful in the control of business operations.

14. Describe in brief the recent trends and new perspectives in management.

15. Explain Graicunas' theory of span of management.

———————

DE–7163 **12**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2013.

First Semester

MANAGERIAL ECONOMICS

(Upto 2012-13)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What is Managerial Economics? Explain the scope of managerial economics.

2. Define Law of Demand. State the assumptions of law of demand.

3. What are the types of elasticity of demand?

4. What is Cost Analysis? Explain the concepts of costs.

5. Describe the importance of production function.

6. How will you measure the profit in a product?

7. Define Break-even Point. List out the advantages of Break-even Point.

8. State and explain the nature of Business Cycle.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Bring out the usefulness of managerial economics in modern business.

10. What is demand curve? Discuss about exceptional for demand curve.

11. Describe the factors affecting advertising elasticity of demand.

12. State the meaning of Cost Control and Cost Reduction. Explain its importance to business in India.

13. Critically examine the role of Government on Control over pricing for products.

14. What is profit planning? Explain the importance of profit planning.

15. Bring out and explain the different methods of measuring National Income.

DE–7164 **13**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2013

First Semester

GENERAL LAWS

(Upto 2012 – 13)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the constitutional provisions relating to state monopoly.

2. Bring out the conflict between fundamental rights and directive principles.

3. Explain the need for interpretation of statutes.

4. Briefly explain the jurisdiction of civil courts.

5. Explain the provisions relating to appointment of arbitrator.

6. Discuss the types of mortgages.

7. Explain the object of the law of registration.

8. Briefly explain the methods of stamping.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Discuss the rights of minorities to establish their own institutions.

10. What are the internal and external aids which could be taken into account while interpretation.

11. Explain arbitration agreement and its essentials.

12. What are the provisions relating to settlement of the dispute under the arbitration and conciliation act 1996?

13. Discuss the rights and duties of lessor and lessee.

14. Explain the provisions relating to registration of documents.

15. Discuss the provisions relating to under stamping or non-stamping of instruments.

DE–7165 **14**

DISTANCE EDUCATION

M.B.A.(CS) DEGREE EXAMINATION, DECEMBER 2013.

First Semester

COMPANY LAW

(Upto 2012-13)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Under what circumstances does a private company become a public company?

2. What is the meaning and significance of the "doctrine of indoor management"?

3. Explain the legal provisions relating to issue and registration of a prospectus.

4. Distinguish between share certificate and share warrant.

5. What are the legal requirements if a company wants to invite deposits from the public?

6. When can a director be removed from office? When will such resignation become effective?

7. Who is a chairman of a meeting? How is the chairman of a meeting appointed?

8. Explain the provisions of the companies act relating to holding of extra ordinary general meeting.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss briefly the history of company legislation in India. Also explain the special features of the companies Act, 1956.

10. Explain the doctrine of ultravires. What are the effects of ultravires transactions? Can a company ratify such transactions?

11. Describe the several ways in which a person can become a member of a company. Are all holders of shares of a company necessarily members of the company?

12. Explain the duties and powers of the directors.

13. What are the legal provisions for holding the annual general meeting of a company? What business is transacted at the meeting?

14. What are the restrictions of the borrowing powers of a company? State the different types of debentures that can be issued by the company.

15. Elaborate the doctrine of lifting the corporate Vail. How for does it ensure protection to third parties?

———————

DE–7166 **15**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2013.

First Semester

CORPORATE ACCOUNTING

(Upto 2012-13)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What is Share Capital? State the different classification of Share Capital.

2. Hari. Ltd. was incorporated with a share capital of Rs.12,00,000 in Rs.10 shares. The company purchased machinery from X & Co for Rs. 6,00,000 payable in fully paid shares of the company. The directors also decided to allot 2,000 shares credited as fully paid to the promoters for their services. The rest of the shares were issued for cash and were taken up by the public and fully paid for. Give journal entries and show the balance sheet.

3. A company ;
   (a) Issues at par 40,000 redeemable preference shares of Rs.10 each, redeemable at a premium of 5%
   (b) Redeems 15,000 of the redeemable preference shares out of the profits of the company.
   (c) Issue for cash 30,000 equity shares of Rs.10 each at a premium of Re.1 per share and out of the proceeds, the balance of the redeemable preference shares were redeemed.

   Pass necessary journal entries for the above transactions.

4. Senthil Mills Ltd., was incorporated on 31st July 2007 to purchase the business of Hemalatha & Co.. as on 1st April 2007. The books of accounts disclosed the following on 31st March 2008.

   (a) Sales for the year Rs. 32,10,400 (1st April to 31st July 2007 Rs. 8,02,600; /1st August 2007 to 31st March 2008 Rs. 24,07,800).

   (b) Gross profit for the year Rs. 4,12,800: Managing Directors' salary Rs. 12,000; Preliminary expenses written off Rs. 18,000. Company Secretary's salary Rs. 58,000.

   (c) Bad debts written off Rs. 14,890 (prior to 31st July Rs. 4,020, after 31st Rs. 10,870)

   (d) Depreciation on Machinery Rs. 25,200; General expenses Rs. 51,000; Advertising Rs. 7,400; Interest on debentures its. 20,000.

   You are required to prepare a statement apportioning properly the net profit of the company as between

   (i) Profits available for distribution

   (ii) Profits prior to incorporation.

5. Ravi Ltd and Kumar Ltd. decided to amalgamate and a new company Ravikumar Ltd. is formed to take over both the companies as on 31st March 2012.

Balance Sheet

Liabilities	Ravi Ltd	Kumar Ltd	Assets	Ravi Ltd	Kumar Ltd
	Rs.	Rs.		Rs.	Rs.
Share capital @ Rs. 10 each	5,00,000	2,50,000	Land and building	1,00,000	2,00,000
Bank loan	50,000	1,50,000	Plant and		
Creditors	1,50,000	2,00,000	machinery	5,00,000	6,00,000
Bills payable	1,00,000	1,50,000	Goodwill	1,00,000	–
General reserve	50,000	50,000	Patents	–	1,00,000

Liabilities	Ravi Ltd	Kumar Ltd	Assets	Ravi Ltd	Kumar Ltd
	Rs.	Rs.		Rs.	Rs.
P and L A/c	1,50,000	4,00,000	Stock	1,00,000	1,20,000
Capital reserve	1,00,000	1,00,000	Debtors	2,00,000	1,00,000
			Bills receivable	–	80,000
			Cash	25,000	15,000
			Bank	75,000	85,000
	11,00,000	13,00,000		11,00,000	13,00,000

The following is the accepted scheme of valuation of business of the two companies.

Ravi Ltd.

(a) Create Provision for bad debts @ 10% on Debtors.

(b) Write off goodwill by Rs 50,000

(c) Write off 20% on Plant & Machinery and 10% on Land and Building.

(d) Write off 20% of Stock.

Kumar Ltd.

(a) Write off 10% on Land and Buildings and 20 % on Plant and Machinery.

(b) Create provision for bad debts @ 10% on debtors.

(c) Write off patents by Rs. 25,000.

You are required to compute purchase consideration for both the companies.

6. The Balance sheets of C Ltd. and D. Ltd. as at 31st December 2011 are as follows :

Liabilities	C Ltd. (Rs.)	D Ltd. (Rs.)	Assets	C Ltd. (Rs.)	D Ltd. (Rs.)
Share Capital :			Sundry Assets	1,32,500	1,38,200
Shares of Rs.10			Goodwill	–	20,000
each	2,00,000	1,00,000	Shares in D Ltd		
General Reserve	18,000	20,000	at cost	1,40,000	-
P & L A/c	24,500	23,000			
Creditors	30,000	15,200			
	2,72,500	1,58,200		2,72,500	1,58,200

In the case of D Ltd., profit for the year ended 31st December 2011 is Rs. 12,000 and transfer to Reserve is Rs.5,000. The holding of C Ltd. in D Ltd. is 90% acquired on 30th June 2011. Draft a consolidated Balance Sheet of C Ltd and its subsidiary.

7. From the following information relating to Lakshmi Bank Ltd, prepare the profit and loss account the year ended 31st December 2011.

Particulars	Rs.
Rent Received	72,000
Exchange and Commission	32,800
Interest on fixed deposit	11,00,000
Interest on SB Accounts	2,72,000
Interest on Overdrafts	2,16,000
Discount on Bills Discounted	7,80,000
Interest on Current Accounts	1,68,000
Interest on Cash Credits	8,92,000
Depreciation Bank Property	20,000
Salaries and allowance	2,18,800
Postage	5,600
Sundry Charges	4,000
Directors and Auditor's Fess	16,800
Printing	8,000
Law Charges	3,600
Locker Rent	1,400
Transfer Fees	2,800
Interest on Loans	10,36,000

8. What is preference Shares? List out the different kinds of preferences shares.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Erode Ltd. was formed to take over the assets and liabilities of Shri. Laxman and to acquire the adjacent premises. The Balance Sheet of Shri. Laxman on 31st Dec. 2011 was as follows :

Liabilities	Rs.	Assets	Rs.
Trade Creditors	8,000	Cash in hand	2,000
Capital	1,60,000	Cash at bank	12,000
		Book debts	18,000
		Stock	78,000
		Furniture	10,000
		Land & Buildings	48,000
	1,68,000		1,68,000

The purchase consideration was agreed at Rs. 2,00,000 and was to be paid as under.

(a) 5,600 equity shares of Rs. 20 each, fully paid.

(b) Rs. 68,000 in 6 % preference shares of Rs. 100 each issued at par.

(c) Rs. 20,000 in cash.

All the assets and liabilities were valued as per above balance sheet except the book debts which were subject to a bad debts provision of 5%.

The company raised further capital by issue of 15,000 equity shares of Rs.20 each. The adjoining premises were purchased for Rs. 1,00,000 and additional stock of Rs. 1,40,000 was obtained from open market.

Record the above transactions in the books of Erode Ltd, through journal entries and draft its opening balance sheet.

10. KSRCAS Ltd was formed with a capital of Rs. 10,00,000 in Rs.10 shares, the whole amount being issued to the public. The underwriting of these shares was as follows :

A – 35,000	B – 30,000	C – 20,000
D – 10,000	E – 3,000	E – 2,000

All the marked application forms were to go in relief of the underwriters whose stamp they bear. The application forms marked by the underwriters were :

A – 10,000	B – 22,500	C – 20,000
D – 7,500	E – 5,000	F – Nil

Applications for 20,000 share were received on forms not marked. Draw up a statement showing the number of shares each underwriter had to take up.

11. New Industries Ltd. present you with the following Trial balance as on 30th June 2010.

Trial Balance

Particulars	Rs.	Particulars	Rs.
Land and buildings (cost Rs. 4,00,000)	3,10,000	Share capital (fully paid)	4,00,000
Plant and Machinery		Share Premium	40,000
(cost Rs.4,50,000)	3,40,000	General Reserve	1,00,000
Preliminary Expenses	15,000	Profit and Loss	
Stock (1.7.2009)	65,000	A/c	25,000

Particulars	Rs.	Particulars	Rs.
Purchases	3,30,000	Bank loan	
Salaries	50,000	1.1.2010 at 6%)	2,00,000
General expenses	15,000	Sundry creditors	35,000
Director's fees	3,000	Sales	6,00,000
Auditor's fees	2,000		
Wages	60,000		
Manufacturing Expenses	20,000		
Carriage	5,000		
Advertising	20,000		
Sundry Debtors	60,000		
Goodwill	90,000		
Bank	15,000		
	14,00,000		14,00,000

The company had an authorised capital of Rs. 10,00,000 divided into shares of Rs.100 each. The company had issued 2,000 shares to vendors as filly paid.

The closing stock on 30th June 2010 was Rs. 55,000. The M.D. is entitled to a commission of 5% on net profits before income tax and his commission. General expenses include prepaid rates totalling Rs. 300. A provision for income tax to the extent of Rs. 15,000 is desired and the directors recommended a dividend at 5%. Depreciation should be written off on Plant and machinery at 10% and at 2% on Land and Building at cost.

Prepare Trading and profit and loss A/c for the year ended 30th June 2010 and Balance Sheet as at that date.

12. The following is the Balance Sheet of C Ltd. as on 31-3-2003.

Liabilities	Rs.	Assets	Rs.
Issued and paid up :		Goodwill	20,000
25,000 Pref. shares of		Leasehold premises	1,07,000
Rs. 10 each	2,50,000	Plant and machinery	60,000

Liabilities	Rs.	Assets	Rs.
25,000 equity shares		Patents	1,73,900
Rs. 10 each	2,50,000	Stock	34,000
Current liabilities :		Debtors	56,000
Sundry creditors	40,000	Cash	100
Bank overdraft	36,000	Preliminary expenses	2,000
		Profit and loss A/c	1,23,000
	5,76,000		5,76,000

The company proved unsuccessful and resolutions were passed to carry out the following scheme of reconstruction by reduction of capital :

(a) That the Preference Shares be reduced to an equal number of fully paid shares of Rs. 5 each.

(b) That the Equity Shares be reduced to an equal number of fully paid shares of Rs. 2.50 each.

(c) That the amount so available be utilised towards wiping out losses and reduction of assets as follows :

Preliminary Expenses, Goodwill and Profit and Loss Account to be written off entirely, Rs. 27,000 to be written off Leasehold Premises, Rs. 14,000 to be written off stock, Rs. 6,000 to be provided for doubtful debts, 20% should be written off plant and Machinery and the balance be written off Patents.

Make journal entries in the books of the company and prepare the Balance Sheet giving effect to the above scheme.

13. From the Balance Sheet and information given below, prepare Consolidated Balance Sheet.

Balance Sheet as on 31st March, 2012

Liabilities	H Ltd	S Ltd	Assets	H Ltd	S Ltd
	Rs.	Rs.		Rs.	Rs.
Share capital :			Fixed assets	4,00,000	60,000
shares of Rs. 10			Stock	3,00,000	1,20,000
each fully paid	5,00,000	1,00,000	Debtors	75,000	85,000
Profit and loss	2,00,000	60,000	Bills		
Reserves	60,000	30,000	receivable	20,000	–
Bills payable	–	15,000	Shares in		
Creditors	1,10,000	60,000	S Ltd. 7,500		
			at cost	75,000	–
	8,70,000	2,65,000		8,70,000	2,65,000

Additional Information :

(a) The bills accepted by S. Ltd. are all in favour of H Ltd.

(b) The stock of H Ltd. includes Rs. 25,000 bought from S Ltd. at a profit to latter of 20% of sales.

(c) All the profit of S Ltd. has been earned since the shares were acquired by H ltd. but there was already the reserve of Rs. 30,000 at that date.

14. From the following balances extracted from the books of the LIC as at 31.12.2008, prepare a revenue A/c for the year ending 31.12.2008 in the prescribed form :

Particulars	Rs.	Particulars	Rs.
Claims by death	3,30,000	Life assurance fund	
Claims by maturity	2,15,000	(1.1.2008)	63,31,000
Agents allowances	26,500	Premiums	20,65,000
Salaries	44,200	Bonus in reduction of	
Traveling expenses	1,200	premiums	1,000
Directors' fees	8,700	Income tax on Interest	

Particulars	Rs.	Particulars	Rs.
Auditors fees	1,000	and Dividend	5,700
Medical fees	52,000	Printing and Stationery	13,900
Commission	2,18,000	Postage and telegrams	14,300
Rent	2,800	Receipts stamps	2,300
Law charges	200	Reinsurance premiums	40,950
Advertising	4,300	Interest and dividends	2,72,000
Bank charges	1,500	Policy renewal fees	9,600
General charges	2,000	Assignment fees	540
Surrenders	47,500	Endowment fees	690
		Transfer fees	1,400

Provide Rs 1,500 for depreciation of furniture and Rs. 2,20,000 for depreciation on investments.

15. Give the 'proforma' of the Balance sheet and Profit and Loss account to be prepared by a bank and schedules to be appended therto with imaginary figures.

DE–7167 **21**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2013.

Second Semester

HUMAN RESOURCE MANAGEMENT

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. "Management of personnel is a basic responsibility of every manager" – Discuss.

2. What are the objectives and benefits of human resource planning?

3. Explain briefly the factors to be taken into consideration while placing an employee on a job.

4. What do you mean by fringe benefits? What is the rational behind fringe benefits?

5. Discuss the role of human resource department in employee safety.

6. Explain briefly the different types of personnel records.

7. Explain the utility of job specification in selection process.

8. How do you identify the training needs of an enterprise?

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss the important factors you would help in mind while formulating the personnel policies.

10. Explain the uses of job analysis in various functions of personnel management.

11. "Induction is the guided adjustment of employee to the organization and his work environment". Discuss.

12. What are different types of promotion? Discuss the need for promotion in an organisation.

13. What is output – linked incentive plan? How can such a plan be designed on individual and group basis?

14. Discuss the objectives of maintaining discipline in an organisation.

15. How do you construct a questionnaire for auditing human resource management practices of an organisation?

DE–7168 **22**

DISTANCE EDUCATION

M.B.A.(CS) DEGREE EXAMINATION, DECEMBER 2013.

Second Semester

BANKING AND INSURANCE LAWS

Time : Three hours Maximum : 100 marks

SECTION A — ($5 \times 8 = 40$ marks)

Answer any FIVE questions.

All questions carry equal marks.

1. State the recent development of Indian banking sector.

2. What are the objectives of Banking Regulation Act?

3. Elaborate the significance of Relationship Management.

4. Explain the differences between promissory notes and bills of exchange.

5. State the different kinds of endorsement.

6. Bring out and discuss about the principles of Insurance.

7. What are the types of Insurance?

8. Critically examine the role of Government in promoting private sector Insurance

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. State the functions of commercial banks.

10. Explain the relationship between banker and customer.

11. What is Crossing of Cheques? Explain the types of Crossing of Cheques.

12. Who is Paying Banker? Discuss the Precautions to be taken by the Paying Banker.

13. Discuss in detail about the principles of sound lending.

14. Describe the rights of IRDA.

15. Elaborate the importance of risk insurance management.

DE–7169 **23**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2013.

Second Semester

DIRECT TAXES

Time : Three hours Maximum : 100 marks

PART A — ($5 \times 8 = 40$ marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Discuss the exempted capital gains U/S 54.

2. Write a note on :

   (a) Agricultural Income.

   (b) Assessee.

3. State the powers of assessing officer.

4. Mr. Vijay came to India from U.S.A. for the first time on 30th September 2004 to join an American concern as General Manager. After reporting for duty he left for Job an on 2nd October 2005 to finalise the company's transaction. He returned to India on 10th October 2005 and stayed in India till 31st July, 2010 when he went back to the U.S.A. He came back to join duty on 10th November 2011.

   What is his residential status for the previous year 2011 – 2012? Give reasons.

5. A house was completed on April 1, 2011 and following information is available about this house :

	₹
Municipal value of the house	30,000 p.a.
Fair rental value of the house	32,000 p.a.
Actual rent	4,000 p.a.
Municipal taxes	6,000 p.a.

Let out for the period 1.4.2011 to 31.12.2011 and self occupied from 1.1.2012 onwards.

	₹
Fire Insurance Premium	3,600
Land revenue	6,000
Interest on loan for the period :	
(a) 1.4.2008 to 31.3.2011	45,000
(b) 1.4.2011 to 31.3.2012	15,000

Calculate income from house property for the previous year ending on 31.3.2012.

6. Jolly has the following assets and liabilities on the valuation date i.e. 31st March 2012.

		₹ in lakhs
(a)	Residential house	60.0
(b)	A farm house – 15 kms. away from the local limit of Calcutta	30.0
(c)	Car for personal use	16.0
(d)	Jewellery	24.0
(e)	Air craft for personal use	180.0

		₹ in lakhs
(f)	Urban land (construction is not permitted under the law)	40.0
(g)	Cash in hand	11.0
(h)	Loan taken to purchase the air-craft	80.0

Compute the net-wealth of jolly for the assessment year 2012 – 2013.

7. Explain the incomes of other persons to be included in assessee's total income.

8. Compute income from other sources from particulars given below :

		₹
(a)	Interest on deposits with a company	10,000
(b)	University remuneration for working as examiner	6,000
(c)	Royalty for writing books	60,000
	He claims to have spent ₹ 20,000 on writing there books :	
(d)	Dividend declared by R Co. on 1.3.2012 but paid on 1.5.2012	6,000
(e)	Interim dividend paid on 1.5.2011	3,000
(f)	State money on race horses	1,50,000
	Horses are maintained by him and expenses on maintenance of these horses are	2,40,000
(g)	Family pension received	36,000

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the assets exempt from wealth tax.

10. Discuss the powers of Central Board of Direct taxes (CBIT).

11. What are the provisions relating to deductions from gross total income of donations to certain funds, charitable institutions etc., under sec. 80 G of the Income Tax Act 1961?

12. The following are the particulars of the income of Mr. Arvind for the previous year ending on 31st March :

    (a) Salary ₹ 12,000 p.m.

    (b) Contribution to recognised P.F. ₹ 1,610 per month.

    (c) Employer contributes the same amount as the employee contributes towards P.F.

    (d) Dearness allowance : ₹ 300 p.m. It is not considered for computation of his retirement benefits.

    (e) Interest credited to P.F. @ 13% is ₹ 13,000.

    (f) Contribution to public providend fund is ₹ 9,000.

    (g) Bonus ₹ 3,000.

    (h) His ration bill of ₹ 2,000 p.m. paid by employer.

    (i) Premium of Life Policy is ₹ 12,000 on a policy of ₹ 1,00,000.

    (j) Deposited ₹ 4,800 in Equity Linked Saving Scheme (ELSS).

(k) Repayment of house building loan taken from HDFC (a Govt. agency) ₹ 20,500 during the year.

Find out taxable income of Mr. Arvind for the assessment year 2012 – 13.

13. Mr. X owns a residential house at Bangalore. From the following information, compute the amount of capital gain.

	₹
Cost of construction (during 94 – 95)	4,00,000
Cost of additions and improvements (during 97 – 98)	2,00,000
Sale consideration (sale made on 10.10.2011)	27,00,000
Expenses on transfer	20,000
Cost of new house purchase in Huderabad (House in half finished) (on 15.1.2012)	5,00,000
Amount deposited in capital gain deposit scheme in SBI on 25.7.2012	3,00,000

An amount of ₹ 2,00,000 with drawn from capital gain deposit scheme on 12th May 2014 and utilised for the completion of the house.

Cost inflation index for 1994 – 1995 is 259, for 1997 – 1998 is 331 and for 2011 – 2012 is 785.

14. Profit and loss account of M/s. Raju & Company.

	₹		₹
General expenses	7,000	Gross profit	1,40,000
Fire Insurance Premium	2,000	Bad debts, recovered but	
Bad debts	1,000	disallowed earlier	4,000
Salaries	65,000	Interest from Govt.	
Advertisement (in cash)	22,250	Securities	4,000

	₹		₹
Proprietor's salary	12,500	Rent received from	
Interest on capital	2,000	employees	12,000
Income-tax	1,000	Interest from debtors for	
Depreciation	2,000	delayed payment	6,000
Sales tax (due)	5,000		
Advance income tax paid	1,000		
Donations	500		
Motor car expenses	750		
Municipal taxes of quarters let to employees	5,000		
Net profit	39,000		
	1,66,000		1,66,000

General expenses include ₹ 4,000 paid as compensation to an old employee whose services ere terminated in the interest of the business and ₹ 2,200 by way of help to a poor student. Depreciation calculated according to the rates comes to ₹ 2,900. Sales Tax paid on 1.5.2012. Date of filing of return is 31.7.2012.

50% of Motor car expenses are for proprietor's personal use. Compute business income.

15. Mr. Basu is in service in Calcutta (population above 25 lakhs) drawing a monthly salary of ₹ 15,000 p.m. He is also provided with a rent free unfurnished flat, for which employer pays a rent of ₹ 2,500 p.m. He contributes 10 percent of his salary to a recognised provident fund. The interest @ 8% on his provident fund account for the year ended 31st March 2012 amounted to ₹ 2,500. He is also the owner of a house which is let out at a monthly rate of ₹ 2,500. His expenses for house were :

		₹
(a)	Municipal taxes	3,000
(b)	Interest on loan for construction of the house	6,600
(c)	Repairs	500

He has also interest on Govt. securities amount to ₹ 14,000 (gross).

He has also received a share from a film assessed as firm of ₹ 5,000 and his share of firm's tax amounts to ₹ 600. He has paid life insurance premium for a policy on his own life ₹ 700. He paid ₹ 200 to p.m. National Relief Fund.

Compute the total income of Mr. Basu.

DE–7170 **24**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2013.

Second Semester

ADVANCED COMPANY LAW

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What are the provisions of Companies Act, 1956 regarding appointment of auditors?

2. Write short notes on :

   (a) Profit

   (b) Divisible profits and

   (c) Capital profit.

3. What statutory books are required to be kept by a company?

4. Who can apply to company law board for relief in case of oppression and mismanagement?

5. Comment on the following statement : "A mere dis-satisfaction of the minority does not constituted oppression".

6. What is meant by compulsory winding up? Who can order such winding up and in what circumstances?

7. Enumerate the powers of the inspectors appointed by the Central Govt. to investigate into the affairs of a company.

8. Briefly explain the rational behind the prohibition of Insider trading.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Describe the rules regarding the payment of dividend.

10. Discuss the exceptions to the rule in Foss V. Harbottle.

11. Discuss fully the provisions of Companies Act, 1956 for the prevention of oppression and mismanagement.

12. What are the duties and powers of the official liquidator under the Companies Act?

13. Briefly explain the features of company law in Japan.

14. Describe the circumstances under which the Central Govt. order investigation into the affairs of a company.

15. Discuss about the SEBI's anti-insider trading regulation.

———————

DE–7171 **25**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION,
DECEMBER 2013.

Second Semester

COST AND MANAGEMENT ACCOUNTING

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Define cost accounting. Explain its objectives.

2. Discuss the various ways in which costs may be classified.

3. "Ratio analysis is a tool of management for measuring efficiency and guiding business policies" – Discuss.

4. How cash flow statement differ from funds flow statement?

5. The following direct costs ware incurred on Job No. 415 of Standard Radio Company. Materials Rs. 6,010.

Wages :	Department A –	60 hours @ Rs. 30 per hr.
	Department B –	40 hours @ Rs. 2 per hr.
	Department C –	20 hours @ Rs. 50 per hr.

Overhead for these three departments were estimated as follows :

Variable overhead :

Department A – Rs. 15,000 for 1,500 labour hours

Department B – Rs. 4,000 for 200 labour hours

Department C – Rs. 12,000 for 300 labour hours

Fixed overhead : Estimated at Rs. 40,000 for 2000 normal working hours.

You are required to calculate the cost of Job 415 and calculate the price to give profit of 25% on selling price.

6. The following was the expenditure on a contract for Rs. 12,00,000 commenced in January 2011.

Materials	Rs. 2,40,000
Wages	Rs. 3,28,000
Plant	Rs. 40,000
Overheads	Rs. 17,200
Work uncertified	Rs. 8,000

Cash received on account of the contract on 31st December 2011 was Rs. 4,80,000, being 80% of the work certified. The value of materials in hand was Rs. 12,000. The plant had undergone 20% Depredation. Prepare contract account.

7. From the following particulars of Srinithi enterprises, calculate the trend percentages taking 2005 as the base and interpret them.

(Rs. in lakhs)

Year	Sales	Stock	Profit Before Tax
2005	1,881	709	321
2006	2,340	781	435

Year	Sales	Stock	Profit Before Tax
2007	2,655	816	458
2008	3,021	944	527
2009	3,768	1,154	672

8. From the following, prepare a statement showing changes in working capital during 2009.

Liabilities	2005 Rs.	2006 Rs.	Assets	2005 Rs.	2006 Rs.
Share Capital	6,00,000	6,00,000	Fixed Assets	10,00,000	11,20,000
Reserves	50,000	1,80,000	Less :		
P and L A/C	40,000	65,000	Depreciation	3,70,000	4,60,000
Debentures	3,00,000	2,50,000		6,30,000	6,60,000
Creditors	1,70,000	1,60,000	Stock	2,40,000	3,70,000
Provision for			Book debts	2,50,000	2,30,000
Income Tax	60,000	80,000	Cash in Hand	80,000	60,000
			Preliminary expense	20,000	15,000
	12,20,000	13,35,000		12,20,000	13,35,000

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Describe the various tools and techniques of management accounting.

10. The accounts of 'X' Ltd. for the year ending 31.12.2010 disclosed the following information :

Materials consumed	Rs. 50,000
Productive wages	Rs. 40,000
Works overhead	Rs. 8,000
Office overhead	Rs. 4,900

Prepare cost sheet and calculate the price to be Quoted for a product to be manufactured in 2011 requiring Materials valued at Rs. 250 and Wages Rs. 150. So that the price may yield a profit of 20% on cost.

11. A product passes through two processes and then to finished stock. The normal wastage of each process is as follows : Process – A 3% and Process – B 5%. The wastage of Process – A was sold at Rs. 5 per unit and that of Process – B at Rs. 10 per unit. 20,000 units were introduced into Process – A at the beginning of January 2008 at a cost of Rs. 40 per unit.

Other expenses were as under :

Expenses	Process – A	Process – B
	Rs.	Rs.
Sundry Materials	40,000	60,000
Wages	2,00,000	3,20,000
Manufacturing expenses	30,000	28,500

The output of Process – A was 19,000 units and that of Process – B 18,200 units. Prepare the Process Accounts.

12. Compute cost per running kilometer from the following data of a truck.

Estimated life of vehicle 1,00,000 K.M.S.

Annual running 15000 KMS.	Rs.P
Cost of vehicle	25,000.00
Road licence (Annual)	750.00
Insurance (Annual)	700.000
Garage rent (Annual)	900.00
Supervision and salaries (Annual)	2,700.00

Annual running 15000 KMS.	Rs.P
Driver's wages per hour	3.00
Cost of fuel per litre	3.00
Repairs and Maintenance per K.M.	1.75
Tyre allocation per K.M.	0.90

Charge interest at 5% per annum on cost of vehicle. The vehicle runs 20 KMS. Per hour on an average and one litre of fuel gives 20 KM.

13. From the following information relating to Quick Standards Ltd., you are required to find out

    (a) P.V. Ratio

    (b) Break-even point

    (c) Profit

    (d) Margin of safety.

Total Fixed Cost	Rs. 4,500
Total Variable Cost	Rs. 7,500
Total Sales	Rs. 15,000

    (e) Also calculate the volume of sales to earn profit of Rs. 6,000.

14. From the following balance sheet. Calculate

    (a) Current ratio

    (b) Liquid ratio

    (c) Debt equity ratio and

    (d) Proprietary ratio.

Balance Sheet

Liabilities	Rs.	Assets	Rs.
Share Capital	5,00,000	Fixed Assets	14,00,000
Reserves	3,00,000	Stock	5,00,000
6% Debentures	11,00,000	Debtors	2,00,000
Bank overdraft	1,00,000	Cash	1,00,000
Creditors	2,00,000		
	22,00,000		22,00,000

15. The following are the Balance Sheet of S.M.V. Co. Ltd., as on 31.12.2005 and 31.12.2006.

Liabilities	2005 Rs.	2006 Rs.	Assets	2005 Rs.	2006 Rs.
Share Capital	1,00,000	1,25,000	Building	1,00,000	95,000
General Reserve	25,000	30,000	Machinery	75,000	85,500
P and L A/C	15,250	15,300	Stock	50,000	37,000
Bank Loan	35,000	–	Debtors	40,000	31,100
Creditors	75,000	67,600	Cash	250	300
Provision for Tax	15,000	17,500	Bank	–	4,000
			Investment	–	2,500
	2,65,250	2,55,400		2,65,250	2,55,400

Additional Information :

(a) Dividend of Rs. 11,000 was paid

(b) Machinery was purchased for Rs. 15,000

(c) Income Tax paid during the year Rs. 16,500

Prepare Cash Flow Statement.

DE–7172 **31**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION,
DECEMBER 2013.

Third Semester

ORGANISATIONAL BEHAVIOUR

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Bring out the importance and various needs of learning organisational behaviour in this global scenario.

2. What are the various determinants of personality?

3. Enumerate the nature and scope of organisational culture.

4. Explain the chief characteristics of the formal and informal channels of communication.

5. Explain Sheldon's theory of personality.

6. What is non-verbal communication? Does it hinder verbal communication?

7. Explain Locus of control and Machiavellianism.

8. Is emotional intelligence an essential element of leadership?

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain any two important organisational development interventions that you are familiar with.

10. What is the socialisation process and discuss the different demands on different occasions, makes a person react differently?

11. Enumerate the major classification of organisational development techniques, and also explain the OD process.

12. What do you understand by organisational change? And how international business activity in recent times is changing fast and is giving way for quality of work life?

13. What are the factors determining the dynamics of a Group?

14. What constrains the power of personality traits to precisely predict behaviour?

15. Why is participation considered such an effective technique for lessening resistance to change?

DE–7173 **32**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2013.

Third Semester

LABOUR AND INDUSTRIAL LAWS

Time : Three hours Maximum : 100 marks

SECTION A — ($5 \times 8 = 40$ marks)

Answer any FIVE questions.

1. State the provisions of the Factories Act, 1948 with regard to welfare of the workers.

2. What defences are available to an employer against a claim for compensation made by a workman under the workmen's compensation Act, 1923?

3. Explain the provisions of the Industrial Disputes Act, 1947 relating to lay-off and retrenchment.

4. State the rules as to employer's and employee's contributions as provided in the ESI Act, 1948.

5. Discuss briefly the provisions relating to transfer accounts and liability in case of transfer of establishment as provided in Employee's Provident Fund and Miscellaneous Provisions Act, 1952.

6. Explain the rules regarding the payment of wages.

7. How is available surplus determined under the payment of Bonus Act?

8. When does an employee forfeit his right to gratuity?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Discuss the provisions of the Factories Act, 1948 in relation to safety of workers.

10. Define and discuss "wising out of and in the course of employment" as used in the Workmen's Compensation Act, 1923.

11. What is Employee's State Insurance Fund? What are the purposes for which the fund may be expended?

12. Explain the provisions of the Employee's Provident Funds and miscellenous Provisions Act, 1952 relating to Constitution of Provident Fund Scheme and other schemes.

13. Describe the rights, liabilities and privileges of a registered trade union.

14. What are the provisions of the payment of wages act with regard to deductions which may be and may not be made from wages?

15. Discuss the various methods for the settlement of industrial disputes under the Industrial Disputes Act, 1947.

DE–7174 **33**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2013.

Third Semester

SECURITIES LAWS AND FINANCIAL MARKETS

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What are the significance of financial system?

2. Discuss the salient features of capital market reforms in India.

3. Distinguish between capital market and money market.

4. Write short notes on :
   (a) Global depository receipts
   (b) American depository receipts.

5. State the role of intermediaries in primary market.

6. What are the RBI regulations for mutual funds?

7. What are preference shares? State its types.

8. Explain the new instruments of capital market.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the growth and functions of financial system in India.

10. Explain the role of securities market in economic growth.

11. Discuss the role of SEBI in strengthening regulatory framework and fostering investor confidence.

12. Discuss the credit rating agencies in India.

13. Describe the various agencies and institutions involved in primary market.

14. Discuss the regulations and code of conduct framed by SEBI in secondary market.

15. What is mutual fund? Explain its types.

———————

DE–7175 **34**

DISTANCE EDUCATION

M.B.A.(CS) DEGREE EXAMINATION, DECEMBER 2013.

Third Semester

INDIRECT TAXES

Time : Three hours Maximum : 100 marks

PART A — ($5 \times 8 = 40$ marks)

Answer any FIVE questions.

1. Describe the distribution of revenue between center and states.

2. What is excise duty? Explain the types of excise duties.

3. How excisable goods are cleared under physical control system?

4. Briefly explain the procedure for registration of dealer under central excise Act.

5. Explain the various forms of VAT.

6. Describe the scope of service tax in India.

7. List out the objectives of customs duty.

8. What do you mean by declared goods?

PART B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

9. Explain the merits and demerits of indirect taxes.

10. Explain the various ways of valuing excisable goods.

11. Discuss the features of CENVAT scheme.

12. Explain the procedure of computing service tax on taxable services

13. Explain the powers of central Government to prevent illegal import of Goods.

14. Enumerate the provisions of the customs Act regarding duty drawback.

15. Explain inter state sale with suitable case laws.

DE – 7176 **35**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2013.

Third Semester

COMPANY SECRETARIAL PRACTICE

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. The "Certificate of Incorporation" alone is not sufficient to commence business of a company. Comment.

2. State the procedure to be followed for transfer of shares.

3. Draft a resolution for appointment of directors in a casual vacancy in a public company.

4. What points should be kept in mind while drafting an agenda?

5. State the provisions of the companies Act 1956 relating to annual return.

6. When shall a company be deemed unable to pay its debts? Explain.

7. State the procedure for appointment of an auditor in a casual vacancy.

8. Explain briefly the rules for drafting notices of company meetings.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Describe the duties of a company secretary at the commencement stage.

10. What are the circumstances under which a duplicate share certificate can be issued? State the conditions under which it can be issued.

11. Discuss in detail the procedure for the appointment of sole selling agents under different circumstances.

12. Explain the provisions of the Companies Act, 1956 regarding minutes of proceedings of general meetings.

13. Draft specimen resolution indicating the type of resolution required to be passed in respect of convening meeting of the creditors of the company under creditors' voluntary winding up.

14. Who are responsible for keeping books of account? What are the penalties prescribed by the companies Act for failure to maintain proper books of account?

15. Draft resolutions and explanatory statement to change the name of the company.

DE–7177 **36**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2013.

Third Semester

CORPORATE RESTRUCTURING : LAW AND PRACTICE

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Discuss the scope and mode of corporate restructuring.

2. How does strategic planning differ from long-range planning?

3. Enumerate the financial aspects of a merger.

4. What do you mean by the term 'Takeover'? What are the objectives which takeover seeks to achieve?

5. Define the term 'Demerger'. Bring out its relevance as a tool of restructuring.

6. Enumerate the main objectives which companies seek to attain, from mergers.

7. What are the different alternatives available to a public company for 'buy back'?

8. What are the provisions relating to reduction of share capital?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Illustrate the emergence of corporate restructuring in the national perspective.

10. Describe the various benefits of strategic planning.

11. State the procedure for merger and amalgamation related to government companies.

12. Explain the SEBI regulations of takeover.

13. Explain the modes of demerger.

14. What are the factors in post merger reorganisation? Explain.

15. What are the government guidelines for buy back of shares?

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2013.

Fourth Semester

DRAFTING AND CONVEYANCING

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Illustrate the description of parties and their intention in a building contract.

2. What are the ingredients of agency contract?

3. What do you understand by Memorandum of pledge of movables?

4. Write short note on irrecoverable power of attorney.

5. Draft a suspension order to an employee who committed fraud.

6. Mention the points should be considered for writing letter to the editor.

7. Define Floating charge. How it differs from a fixed charge?

8. How General Power of Attorney is differs from Special Power of Attorney?

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

9. Explain the legal implications and requirements of drafting.

10. Draft the specimen of appointment order for a company secretary.

11. Briefly explain the conditions to be written in loan agreement.

12. Draft a letter on behalf of a bank manager giving information to a customer regarding the facility available in the bank for the safe custody of valuables.

13. Draft a report by personnel manager on the alleged misbehaviour of a worker in Memo form.

14. Draft a reply letter to a shareholder who complaints about lower dividend.

15. What is an Affidavit? What are the rules to be remembered when drafting up an affidavit?

DE–7179 **42**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2013.

Fourth Semester

ECONOMIC LEGISLATIONS

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain briefly the objective and scope of the Industries (Development and Regulation) Act.

2. Write a note on: Anti – competitive agreements.

3. Can a person resident outside India acquire immovable property in India? Explain.

4. Write a note on prevention and control of water pollution.

5. Who can file a complaint under the consumer protection Act? Explain.

6. Highlight the salient features of the Environment protection Act, 1986.

7. Write short note on constitution of AM pollution Boards.

8. State the penalties prescribed under FEMA for centravention of the provisions.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Discuss the provisions relating to the licensing of new industrial undertaking under the IDRA, 1951.

10. What are the powers of the Central Government under the competition Act? Discuss.

11. Explain the provisions of capital account transactions.

12. "The object of the Air (Prevention and Control of Pollution) Act, 1981 is the preservation of quality air and control of air pollution". Elucidate.

13. Enumerate the powers of the Central Government to take anti – pollutions measures, as are vested in it under the Environment protection Act, 1986.

14. How the grievances of the consumers are rought to be protected under the consumer protection Act, 1986?

15. Discuss the powers and functions of the Boards appointed under water (Prevention and control of pollution) Act.

DE–7180 **43**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2013

Fourth Semester

SECRETARIAL AND MANAGEMENT AUDIT

Time : Three hours Maximum : 100 marks

SECTION A — ($5 \times 8 = 40$ marks)

Answer any FIVE questions.

1. What are the objectives of secretarial audit?

2. Write a note on registration of chorges?

3. Explain the scope of securities audit?

4. What are the fundamentals of management audit.

5. What are the advantages of cost audit?

6. Explain the code of conduct of practising company secretaries.

7. What is status report? What is the format to be followed?

8. What is the role of secretarial auditor with regard to legal compliances?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. What are the duties and powers of secretarial auditor?

10. How to prepare search/status reports from registrar of companies records for Banks?

11. How to prevent fraudulent and unfair trade practices through securities audit?

12. What are the steps involved in conducting systems audit?

13. How to appraise the management methods of performance by way of management audit?

14. 'Cost audit is an aid to management, shareholders and other external agencies and Public'.

15. Give a detailed note on verification of documents relating to changes.

DE–7181 **44**

DISTANCE EDUCATION

M.B.A. (C.S.) DEGREE EXAMINATION, DECEMBER 2013.

Fourth Semester

INTERNATIONAL BUSINESS

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the characteristic features of international trade?

2. Point out the recent changes in economic environment with reference to global business.

3. List out various factors contributed for the growth of multinational corporations.

4. Write a brief note on UN code of conduct with regard to MNCs.

5. Give the advantages of economic integration.

6. Enumerate various types of foreign collaboration.

7. State the functions of UNCTAD.

8. Differentiate arbitration from litigation.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. What are the goals of International Business?

10. List out the advantages and disadvantages of MNCs.

11. Bring out the objectives and organisation structure of SAARC.

12. Point out the pitfalls in strategic alliances.

13. State the principles of World Trade Organisation.

14. Explain the procedures involved in International Commercial Arbitration.

15. Analyse the environmental aspects relating to International Trade.

DE–7182 **45**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2013.

Fourth Semester

CORPORATE FINANCIAL MANAGEMENT

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the concept of financial management.

2. What are right shares? Explain the significance of the same from the company's and investors view point.

3. Explain the different types of debentures that may be issued by a company.

4. Define working capital and describe its components.

5. Write a note on "Weighted Average Cost".

6. State the limitations of capital structure.

7. Compare Walter's Theory and Gordon's theory of dividend.

8. Write a note on "Euro-Issues".

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Discuss the evolution of financial management and bring out the changing emphasis of finance functions.

10. Explain the lending procedures of the term lending financial institutions in India.

11. Explain the different sources of working capital finance.

12. Describe the determinants of capital structure.

13. What are the different dividend policies? Explain.

14. *XYZ* Ltd has a paid up capital of Rs. 6 crore of equity shares of Rs. 10 each. Its shares due currently quoting at Rs. 45. The company has declared dividend as follows for the past 5 years

Year :	1	2	3	4	5
Dividend :	9	10.5	15	18	21

Find the cost of equity as per $D^{+}g$ approach.

15. *A* Ltd's cost of equity is 10%. Its outstanding shares are 1,00,000 each valued Rs. 40. The company plans to invest Rs. 13,60,000 one year hence. Its expressed earnings are Rs. 3,00,000 and the likely dividend one year later Rs. 2 per share. Show dividend irrelevance as per the MM theory.